

Fearnleys Dry Bulk Market Outlook

Aug 31, 2026



SUMMARY AND OUTLOOK

In our previous update sent in late July, we wrote:

.... Iron ore fundamentals look weaker than they did a month ago. Steel mill profitability in China has fallen sharply, reaching its lowest level since September 2024, making a reduction in hot metal output very likely. In late 2024, the Cape/Newc market weakened significantly; with iron ore fundamentals now resembling that period, the risk of a similar market development is considerable. Minor bulk shipment growth has followed a similar path to iron ore, as global manufacturing momentum has faded. A stronger US dollar, higher US government bond yields, lower precious and industrial metals prices, and higher energy and grain prices all point to an emerging economic downcycle, suggesting that minor bulk shipment growth will decline going forward. The outlook for grains shipments is also not looking too bright according to the International Grains Council. Coal remains a different story, but seaborne supply remains a constraint, evident by the fact that shipments in the first half of this year were lower than in the first half of 2024. Still, the current energy market situation likely means supply will increase going forward.

Overall, we think the spot market levels in May were the peak of this year. The Cape/Newc and Panamax/Kamsarmax segments seem to be on a "lower highs and lower lows" trajectory since then. The Supra/Ultra market has, over the last few weeks, displayed signs of weakness, and the Handysize market struggled to follow the Supra/Ultra market push in the first weeks of July.

The market strength in the Cape/Newc segment in the month of August was driven by extremely high **bauxite** shipments, along with typhoon-related logistical delays. In July and August, Guinea Bauxite exports on Capes/Newcs increased by 53% compared to the same period last year. Through July, China's total bauxite imports increased by 24% year on year, compared with Alumina production growth of 1%. Bauxite inventories have accumulated as a result, which means that, at some point, the pace of imports needs to slow.

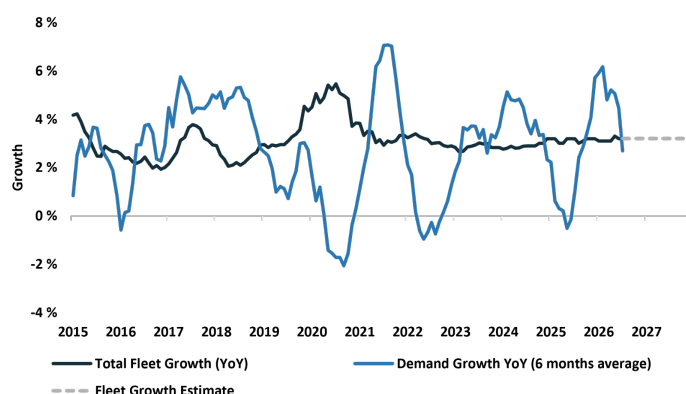
China's **iron ore** imports increased by 2.6% year on year through August. However, the pace of imports has slowed down in the last few months, as the total between June and August was unchanged on the same period last year. Inventories remain elevated, and consumption remains lower than last year. Global **grains** shipments increased by 7.5% year on year through August. The pace has decreased sharply there in the last months, with July and August shipments down 6% compared to last year. Global **coal** shipments increased by 2% year on year through August. Growth is muted considering the circumstances in energy markets, and moreover, total volumes for the first eight months were lower than in both 2023 and 2024.

Total **global shipment volumes** (all commodities, all segments) were up 3.2% year on year through August, vs DWT supply growth of 3.3%. Comparing the last three months to the same period last year, volumes increased by just 1.2%. Long-haul flows, along with disruptions to normal operations in the MEG, Red Sea, Black Sea, Panama Canal and the Pacific (typhoons) keep the markets trending sideways at high levels. We don't see anything that fundamentally changes our view for the outlook going forward.

Earnings Forecasts 26 and 27

Year	BCI5TC	BPI5TC	BSI11TC	BHSI 7TC
2026	27-32 USD pd	16-18 USD pd	17-19 USD pd	14-16 USD pd
2027	20-25 USD pd	12-15 USD pd	12-15 USD pd	10-13 USD pd

Dry Bulk Shipment Volume Growth vs Supply Growth (All Segments)



Fleet Statistics (In Million DWT)

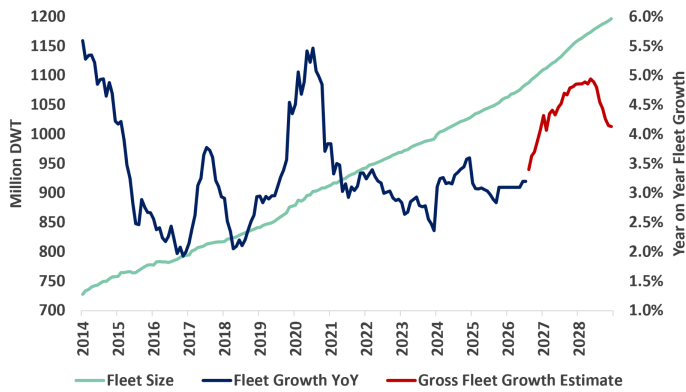
	Total Fleet	CapeNewc	Pmx/Kmx	Smx/Umx	Handy
2025					
Deliveries	36	7.2	9.9	13.1	5.8
Scrapping	3.7	1	1.3	0.1	1.1
Fleet Growth	3.0%	1.9%	3.3%	5.2%	4.1%
2026 YTD					
Deliveries	25	4.6	10.8	8.8	3.8
Remaining on Schedule	17.1	4.4	6.1	4.6	2
Scrapping	2.1	0.6	0.5	0.2	1
YoY Fleet Growth (Aug)	3.2%	1.8%	4.3%	5.5%	3.1%



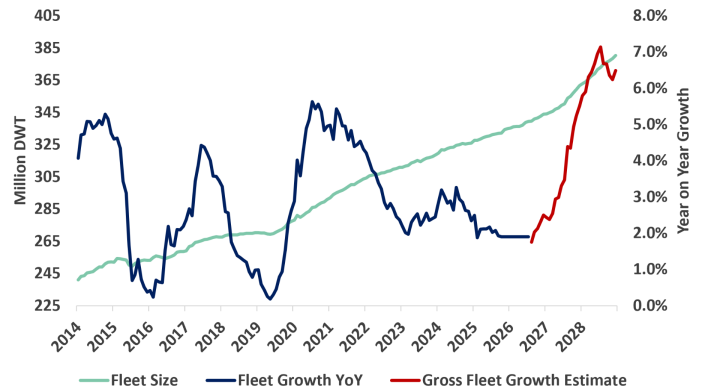


Fleet Growth and Forward Estimates (ex Scrapping and Delivery Delays or Cancellations)

Total Gross Fleet Growth Including Estimate



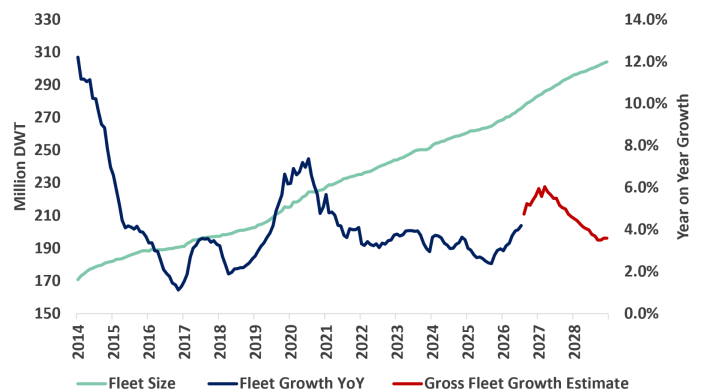
Cape/Newc Gross Fleet Growth Including Estimate



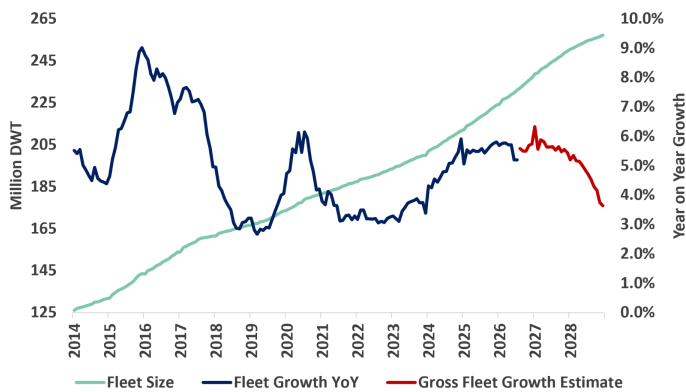
VLOC Fleet Gross Growth Including Estimate



Panamax/Kamsarmax Gross Fleet Growth Including Estimate



Supramax/Ultramax Gross Fleet Growth Including Estimate



Handysize Fleet Gross Growth Including Estimate



PERIOD RATES AND ASSET VALUES

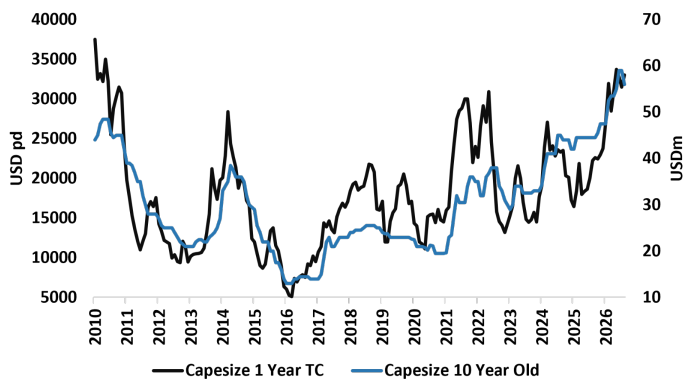
Period rates have increased over the last 1-2 months, as sentiment has turned more bullish due to spot market earnings staying at elevated levels.

Capesize / Newcastlemax. Over the last two months, Capesize 1-year TC assessments rose from \$30,100 to \$36,500 (+21%); Newcastlemax from \$41,700 to \$49,600 (+19%). We observe increased appetite for longer-term deals (beyond 1 year). Second-hand values thus remains well supported, with new ytd highs possible in the near-term.

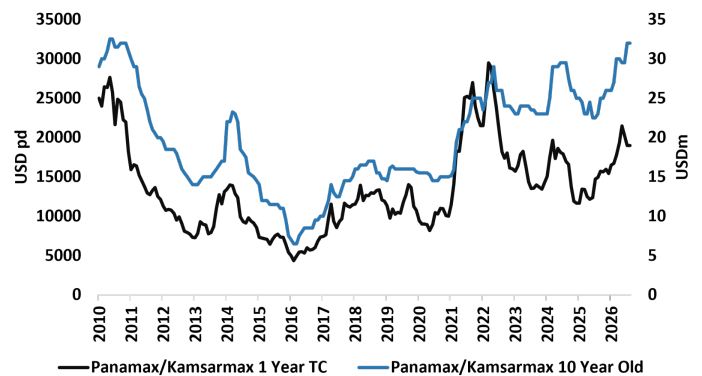
Panamax / Kamsarmax. Over the last two months, 1-year TC for Kamsarmax moved from \$19,000 to \$21,750 (+14%); Panamax from \$17,000 to \$18,500 (+9%). Second-hand values ticked up further in the month of August.

Ultramax / Supramax / Handysize. Over the last two months, Ultramax 1-year TC rose from \$18,000 to \$19,500 (+8%), Supramax from \$16,500 to \$17,000 (+3%), Handysize from \$12,500 to \$14,500 (+16%). Second-hand values trended sideways in the months of August.

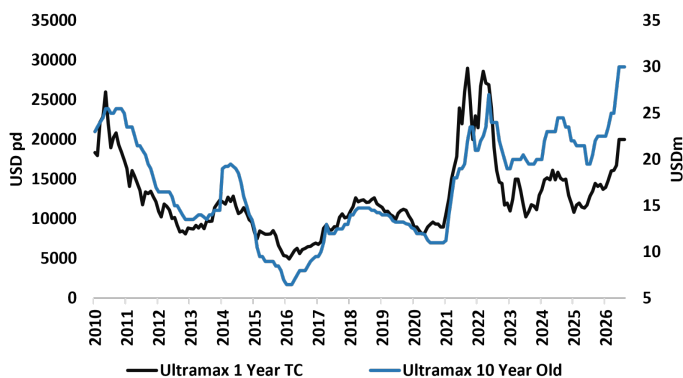
Capesize 1 Year TC vs Capesize 10 Year Old (Japanese)



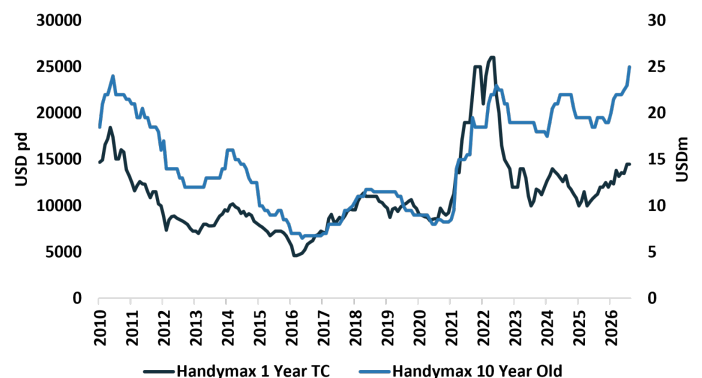
Panamax/Kamsarmax 1 Year TC vs Panamax/Kamsarmax 10 Year Old (Japanese)



Supramax/Ultramax 1 Year TC vs Supramax/Ultramax 10 Year Old (Japanese)



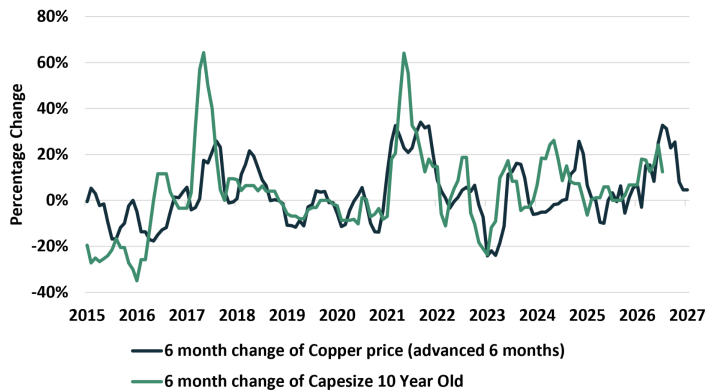
Handysize 1 Year TC vs Handysize 10 Year Old (Japanese)



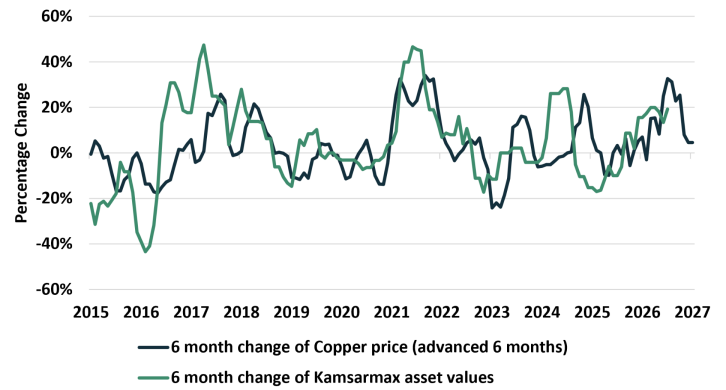
Asset Values vs Commodity Prices

Since April, our view has been that values would peak between May and July. Values continued to tick up in August due to increasingly bullish sentiment in period markets. Our market call for a May-July peak has thus proved inaccurate. As written on the first page of this report, shipment volume growth has weakened sharply in the last few months, so we think the market call is inaccurate in terms of timing but not in terms of the direction of underlying fundamentals.

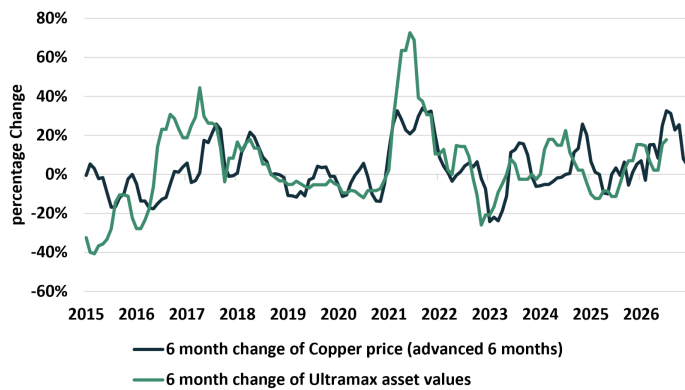
Copper Price 6 Months Change (Lead 6 Months) vs Capesize 10 Year Old



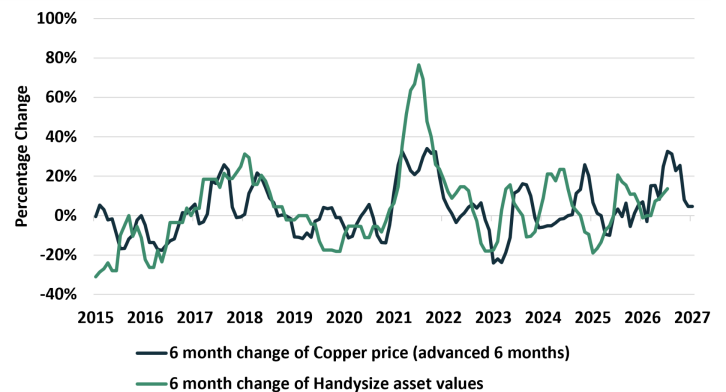
Copper Price 6 Months Change (Lead 6 Months) vs Kamsarmax 10 Year Old



Copper Price vs Ultramax 10 Year Old



Copper Price vs Handysize 10 Year Old



S&P Global, FRED, Fearnleys

TRADE FLOWS YEAR ON YEAR GROWTH

	Iron Ore	Coal	Grains	Others	Total
Apr-25	1%	-6%	-6%	8%	1.0%
May-25	4%	-12%	1%	9%	0.6%
Jun-25	1%	-10%	-2%	7%	-0.9%
Jul-25	4%	2%	7%	12%	6.3%
Aug-25	5%	-2%	10%	5%	4.4%
Sep-25	4%	0%	20%	8%	5.1%
Oct-25	14%	-3%	-1%	3%	4.6%
Nov-25	6%	-3%	9%	8%	4.5%
Dec-25	12%	3%	21%	11%	9.2%
Jan-26	10%	0%	14%	10%	7.5%
Feb-26	7%	0%	12%	8%	5.8%
Mar-26	-9%	-3%	12%	-1%	-2.8%
Apr-26	7%	7%	18%	4%	6.8%
May-26	0%	10%	15%	-2%	3.1%
Jun-26	-2%	11%	10%	4%	3.9%
Jul-26	1%	-3%	1%	5%	1.3%

	100 - 220 KDWT	25 - 100 KDWT		Far East	India + MEG	Southeast Asia
Apr-25	0%	0%	Apr-25	-1%	5%	5%
May-25	1%	0%	May-25	-2%	4%	3%
Jun-25	-2%	0%	Jun-25	-1%	6%	6%
Jul-25	3%	8%	Jul-25	-1%	9%	-3%
Aug-25	-1%	6%	Aug-25	4%	10%	1%
Sep-25	4%	7%	Sep-25	8%	19%	0%
Oct-25	14%	0%	Oct-25	0%	6%	6%
Nov-25	0%	7%	Nov-25	3%	15%	0%
Dec-25	12%	7%	Dec-25	6%	4%	6%
Jan-26	11%	6%	Jan-26	10%	2%	9%
Feb-26	9%	4%	Feb-26	6%	12%	3%
Mar-26	-3%	-2%	Mar-26	6%	-10%	9%
Apr-26	11%	5%	Apr-26	-5%	-16%	14%
May-26	4%	3%	May-26	3%	-11%	16%
Jun-26	-1%	6%	Jun-26	9%	-15%	14%
Jul-26	6%	1%	Jul-26	6%	-18%	22%



MACRO ECONOMIC OUTLOOK

This page gives brief comments on what the charts on the next page tell us. We have pointed to an increasingly bearish picture being painted for the second half of this year and the next year over the last months. The BDI year-on-year change has rolled over and is expected to continue falling.

Top left chart:

The BDI year-on-year change has been strongly positive since September last year, as usual, lagging behind increased credit growth in China.

However, the credit growth rate has tumbled sharply during the last few months, which suggests a negative BDI development going forward. Interest rates and reserve requirement ratio changes do not point to any imminent turnaround in China's liquidity conditions.

Top right chart:

Except for a decoupling in 2024, the change in bond yields in China and the US has been a good leading indicator for dry bulk demand growth. This year it has so far called the demand growth development perfectly, as growth has tumbled sharply following the peak in Q2.

Middle left chart:

Lower crude oil prices are bullish for economic growth, and vice versa. The chart displays that since 2017, there has been a tight correlation between lower year-on-year oil prices and a higher year-on-year BDI, with the oil price change leading by 1 year.

The low oil prices of last year suggest the BDI could remain positive year-on-year throughout 2026. However, the increase in oil prices since late February suggest the market will be lower during the first half of next year.

Middle right chart:

The OECD diffusion index momentum keeps falling, and suggest the year on year change of the BDI will turn less and less positive over the coming six months.

Bottom left chart:

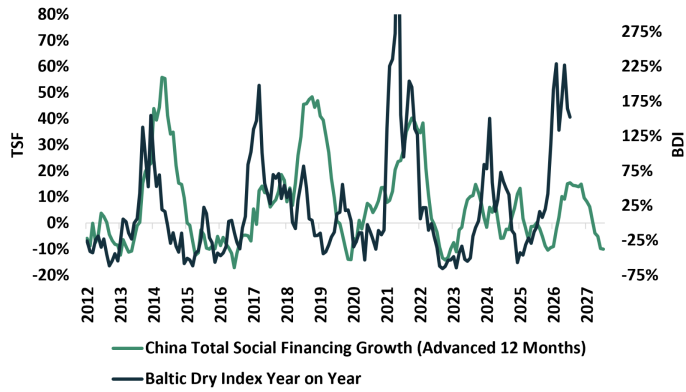
The OECD diffusion index correlation with the BDI is very high, as usual. The OECD index reading is comparable to previous cycle peaks. The index seems to be rolling over, as the reading has fallen from 18 between January and April to 16 in July.

Bottom right chart:

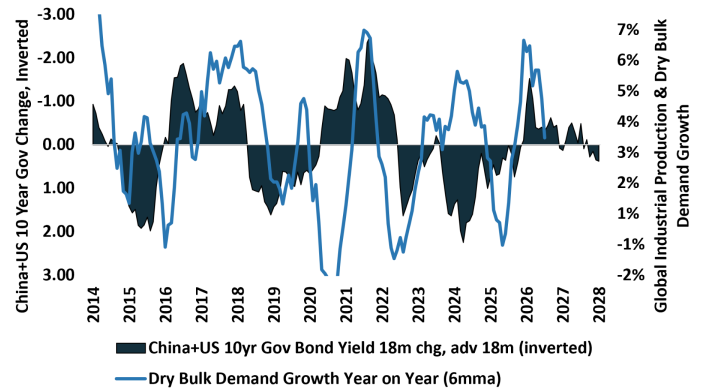
Shipment volume growth has, as usual, tracked the development of the US dollar index (a very good proxy for global liquidity conditions).



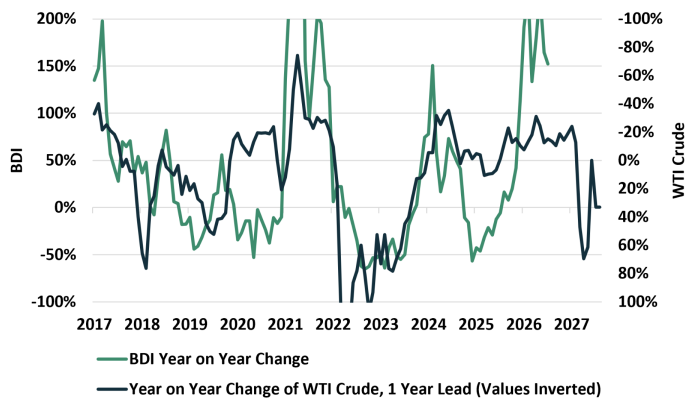
Baltic Dry Index Year on Year Change vs China Credit Growth (12 Months Lead)



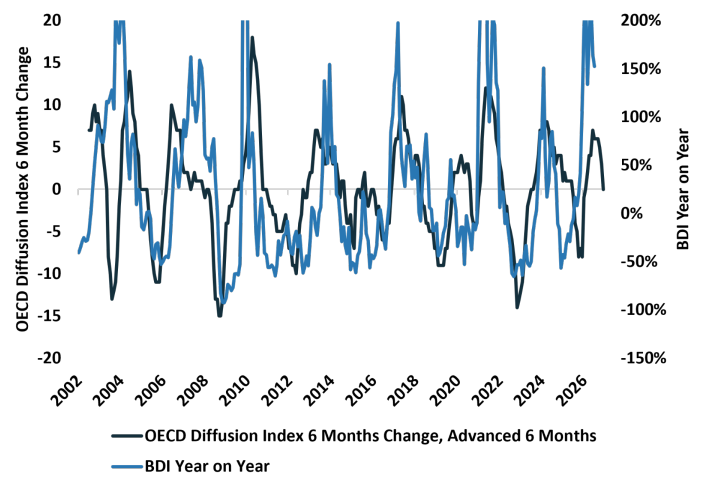
China + US Gov Bond Yield Change, 18 Months Lead. vs Dry Bulk Demand Growth



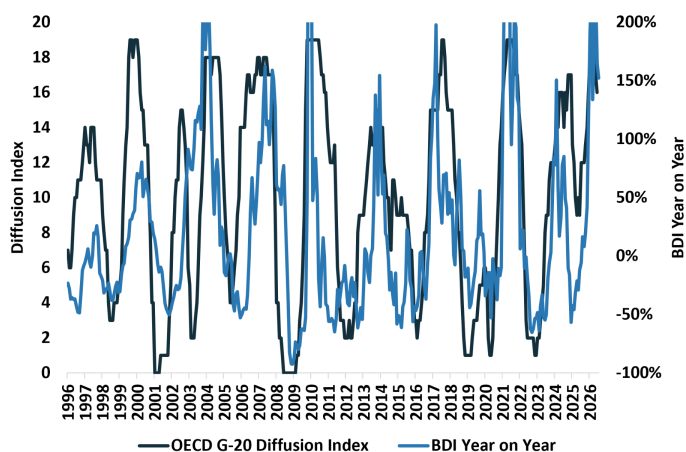
WTI Crude Oil Price YoY, 1 Year Lead vs BDI YoY



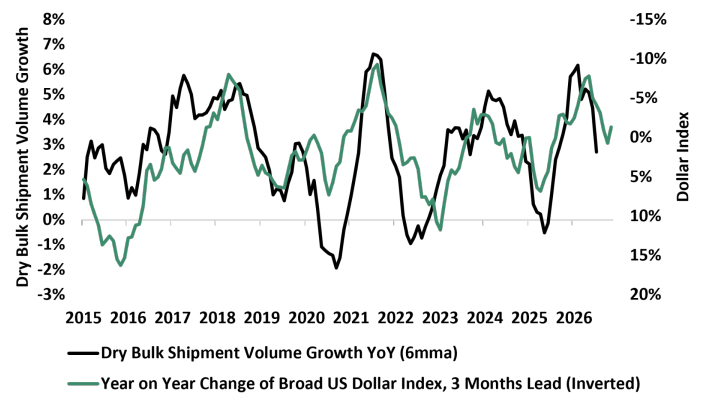
OECD Diffusion Index 6 Months Change vs BDI YoY



OECD G-20 Diffusion Index vs BDI YoY



Broad US Dollar Index Year on Year vs Dry Bulk Shipment Volume Growth





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Fearnleys AS

Dronning Eufemias gate 8
0191 Oslo
Norway
+47 22 93 60 00

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